

Growth that compounds

By Jason Rigolli — Founder, Revved for Growth · <https://fixyourrevenueengine.com/insights/growth-that-compounds/>

TL;DR. A spike is an event wearing growth's clothing: a relationship deal, a conference, a referral wave that draws the same chart line as engine-driven revenue but has no repeatable mechanism underneath. After a best-ever quarter the instinct is to accelerate and spend against whatever just happened, but if the room can't explain what produced the number, that's re-rolling dice with a bigger bet. Predictable, controlled growth isn't the opposite of ambition; it's the only kind that compounds. Five percent a quarter held for twelve quarters beats ten percent for two and a stall. The spike wins the quarter; the engine wins the company.

Best quarter in company history is on the screen. I ask what produced it.

Long pause. Then the honest answer: a big deal that came in through one relationship, a conference that landed better than anyone expected, and nobody can say which channels did what. The chart says growth. The room can't explain it.

That founder isn't behind. He's at the exact fork where the next three years get decided, and almost everything in his environment (the board, the peer group, his own adrenaline) is pointing him at the wrong branch: accelerate. Pour money on whatever just happened.

I'd argue the opposite. Predictable, controlled growth is not the opposite of ambition. It's the only kind of growth that compounds, and compounding, not acceleration, is what builds a company worth owning.

Growth you can't explain is growth you can't repeat.

The quarter nobody can explain

A spike is an event wearing growth's clothing.

The relationship deal, the conference bump, the referral wave: event-driven revenue draws the same line on a chart as engine-driven revenue. Same slope, same celebration. But underneath one line there's a mechanism. Underneath the other there's a story about a Tuesday.

everyone remembers the Tuesday. nobody can invoice it twice.

The instinct after a spike is always acceleration. More spend, more events, more swings...the quarter proved "it" is working, so buy more of it. Except nobody in the room can say what "it" is. That isn't a growth strategy. That's re-rolling dice with a bigger bet.

The nastier cost shows up in January. The spike becomes the baseline. Next year's targets get set off a number an event produced, and the team spends four quarters apologizing for math nobody questioned in the good month.

The escape-velocity argument deserves an answer

The sharpest pushback I hear: compounding is a luxury of incumbents. An early-stage company has to spike to reach escape velocity and capture its market window. Controlled growth at that stage is slow death with better dashboards.

Spikes are real, and sometimes necessary. Nobody funds a flat line. But a spike's job is to buy the engine, not replace it. Revenue from a spike that never converts into mechanism (a channel with known yield, a motion you can run again on purpose, a forecast you trust) is rented, not owned. The distinction was never fast versus slow. It's repeatable versus lucky, at any speed.

A FinTech SaaS client I worked with hit 205 percent of revenue targets. Good number. The part that actually mattered came attached to it: a clear path to repeatable ARR growth. Attainment without repeatability is a good story at dinner. Attainment with repeatability is an asset someone will pay for.

What compounding looks like in the room

Not slower. Chosen.

A growth rate the founder picked rather than suffered. A forecast the board stops discounting. Channels whose yield is known well enough that next quarter is a decision, not a hope. "Controlled" gets misread as cautious; in a working engine it means the throttle answers in both directions. You can push when the math says push and ease off without the whole thing stalling.

You can hear the difference in a Monday pipeline meeting. In an event-driven company, the forecast is a negotiation. In a compounding one, it's a readout.

Run the math on the boring version. Five percent a quarter sounds timid next to ten. Hold five for twelve straight quarters and you're up nearly 80 percent. Hit ten for two quarters and stall, and you're up 21, waiting on the next event to save the year. The gap isn't close, and it widens every quarter you can hold the rate.

That's the quiet trade: the spike wins the quarter, the engine wins the company.

The branch worth taking

Back to that room. The right move after the best quarter ever isn't to spend against it. It's to interrogate it until it confesses: which deals came from where, what actually moved, which piece of it you could run again on purpose next quarter. Whatever survives the interrogation is engine. Fund that.

Compounding is boring on any given day and unbeatable over three years.

Tell me what produced yours

If your best quarter ever is the one you can least explain, that's the conversation. [Tell me what produced yours.](#)



About the author — Jason Rigolli

Founder, Revved for Growth · Fractional CRO

Jason Rigolli fixes the reason a company isn't hitting its number. A two-time co-founder with three CRO seats and over two decades rebuilding revenue engines, he works inside founder-led, family-owned, and PE-backed B2B firms (\$2M–\$15M) across winning, keeping, and growing customers.

fixyourrevenueengine.com · linkedin.com/in/jasonrigolli